Blurt sheet - Unit 3.5 Financial management

3.5.1 Financial Objectives

- **Financial objectives:** revenue, cost, profit, cash flow, return on investment
- **Return on investment (%):** profit from investment ÷ cost of investment × 100

3.5.1 Cash Flow v Profit & the Three Measures of Profit

- **Cash flow v profit:** profit is revenue minus costs over a period; cash flow is money actually in and out
- **Gross profit:** revenue − cost of sales
- **Operating profit:** gross profit − operating expenses
- **Profit for the year:** operating profit + profit from other activities − net finance costs − tax

3.5.2 Budgets & Variances

- **Budget:** financial plan for income and spending over a future period
- **Variance:** budgeted figure − actual figure
- **Favourable variance:** better for profit than planned
- **Adverse variance:** worse for profit than planned

3.5.2 Cash Flow Forecasts

- **Net cash flow:** cash inflows − cash outflows
- **Closing balance:** opening balance + net cash flow
- **Receivables:** money owed to the business by customers
- **Payables:** money the business owes to suppliers

3.5.2 Break-even

- **Contribution per unit:** selling price − variable cost per unit
- **Total contribution:** contribution per unit × units sold
- **Break-even output:** fixed costs ÷ contribution per unit
- **Margin of safety:** actual output − break-even output (in units)

3.5.2 Break-even: Changes & Value

- **Higher price:** steeper revenue line; break-even falls
- **Higher fixed costs:** total cost line shifts up; break-even rises
- **Higher variable cost per unit:** steeper total cost line; break-even rises
- **Limitations of break-even:** one price, straight-line costs, all output sold, estimates

3.5.2 Profitability

- **Gross profit margin (%):** gross profit ÷ revenue × 100
- **Operating profit margin (%):** operating profit ÷ revenue × 100
- **Profit for the year margin (%):** profit for the year ÷ revenue × 100

3.5.3 Sources of Finance

- **Sources of finance (AQA):** debt factoring, overdrafts, retained profits, share capital, loans, venture capital, crowdfunding
- **Debt factoring:** selling receivables to a factor for immediate cash, less a fee
- **Overdraft:** flexible short-term borrowing up to a limit
- **Venture capital:** investment in growing firms in return for a share of ownership
- **Crowdfunding:** many people each provide a small amount, usually online

3.5.4 Improving Cash Flow

- **Speeding up inflows:** chase debts, shorter credit, early-payment discounts, debt factoring, sell unused assets
- **Delaying outflows:** longer credit from suppliers, less inventory, leasing, cutting non-essential spending

3.5.4 Improving Profit & Profitability

- **Profit v profitability:** profit is a £ amount; profitability compares profit with revenue or capital
- **Increasing profit:** raise price (if inelastic), raise volume, cut costs, higher-margin product mix